BEFORE THE NEW YORK STATE
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.	**Case 19-G-0309**

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations Of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.	**Case 19-G-0310**

INITIAL BRIEF OF SANE ENERGY PROJECT

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I. Overview

As we enter 2020, we enter the last decade the Intergovernmental Panel on Climate Change (IPPC) says that we have left to meaningful address climate change. If we do not dramatically reduce greenhouse gas emissions in the next ten years we will lock ourselves into irreversible, catastrophic global warming. We must also recognize that the dramatic growth in production from the Marcellus Shale through high-volume hydraulic fracturing means that the gas our New York State utilities are delivering has a different environmental impact than the gas they were delivering a decade ago. While keeping the IPCC's dire climate warning in mind and taking into account the scientific realities of the environmental impacts of fracked gas, it is time for the Public Service Commission (the Commission) to reassess what "safe and reliable" service means, not only in the short-term but by looking at the long-term impacts the decisions made in this case will have on the viability of downstate New York as a safe place to live.

It's not just the world's leading climate scientists telling us we must pivot immediately from business as usual and our dependence on fossil fuels. Laws passed by New York City and New York State last year also mandate significant reductions in greenhouse gas emissions in the next 10 years. With only 10 years left to make these drastic changes, spending even one more year and hundreds of millions of dollars headed in the wrong direction is iniquitous and will cost lives.

National Grid's (the Companies) proposals to continue to invest ratepayer funds to build and expand fracked gas infrastructure goes against climate science as well as city and state climate law. As discussed herein, and as demonstrated by the evidence in this proceeding, the Commission should reject the Companies' proposed funding request for the following projects: Leak Prone Pipe (LPP) replacement, Metropolitan Reliability Infrastructure (MRI) project, new Compressed Natural Gas (CNG) facilities, expanding and extending the life of CNG and Liquefied Natural Gas (LNG) facilities, Clove Lakes Transmission Loop Project and Riverhead Transmission and Southeast Suffolk Projects.

II. Leak Prone Pipe (LPP) replacement

The Companies have set a goal of reducing total network methane emissions 60 percent by 2035 from a 1990 baseline. During the Evidentiary Hearing on February 10, 2020 the Companies testified that their Leak Prone Pipe replacement program is their long-term strategy to achieve a majority of their methane emission reduction goals. [1]

On June 18, 2019 the New York State Legislature passed the Climate Leadership and Community Protection Act[2] (CLCPA) which was then signed into law by Governor Andrew Cuomo. The CLCPA requires "at least a 40 percent reduction in climate pollution by the year 2030, in line with USGCRP and IPCC projections of what is necessary to avoid the most severe impacts of climate change."

Section 7 of the CLCPA states "All state agencies shall assess and implement strategies to reduce their greenhouse gas emissions. In considering and issuing permits, licenses, and other administrative approvals and decisions, including but not limited to the execution of grants, loans, and contracts, all state agencies, offices, authorities, and divisions shall consider whether such decisions are inconsistent with or will interfere with the attainment of the statewide greenhouse gas emissions limits established in article 75 of the environmental conservation law. Where such decisions are deemed to be inconsistent with or will interfere with the attainment of the statewide greenhouse gas emissions limits, each agency, office, authority, or division shall provide a detailed statement of justification as to why such limits/criteria may not be met, and identify alternatives or greenhouse gas mitigation measures to be required where such project is located."

The CLCPA also states that "THE STATEWIDE GREENHOUSE GAS EMISSIONS REPORT SHALL BE A COMPREHENSIVE EVALUATION, INFORMED BY A VARIETY OF DATA, INCLUDING BUT NOT LIMITED TO: A. INFORMATION RELATING TO THE USE OF FOSSIL FUELS BY SECTOR, INCLUDING FOR ELECTRICITY GENERATION, TRANSPORTATION, HEATING, AND OTHER COMBUSTION PURPOSES; B. INFORMATION RELATING TO FUGITIVE AND VENTED EMISSIONS FROM SYSTEMS ASSOCIATED WITH THE PRODUCTION, PROCESSING, TRANSPORT,DISTRIBUTION,STORAGE, AND CONSUMPTION OF FOSSIL FUELS, INCLUDING NATURAL GAS"

[1] Corrected Evidentiary Hearing Transcript Volume 1 - Monday, February 10 , 2020 - Albany Page 373 lines 15-24
[2] CLCPA https://www.nysenate.gov/legislation/bills/2019/s6599

Evidence presented throughout the case shows that the Company's method of evaluating and reducing greenhouse gas emissions is out of compliance with the CLCPA in the following ways: 1.The Company uses the wrong carbon equivalent factor for methane to determine total greenhouse gas emissions 2.The Company does not evaluate or have a sufficient plan to reduce greenhouse gases emitted by the combustion of the fossil fuel they deliver 3. The Company has not done evaluations to determine greenhouse gas emissions upstream during production, processing and transport and has insufficient plans to reduce upstream emissions.

i. The Company uses the wrong carbon equivalent factor for methane to determine total greenhouse gas emissions

During the Evidentiary Hearing on February 10, 2020 the Company testified that all of their greenhouse gas emission calculations were based on the global warming factor of methane over a 100 year timeframe. [3] That information was further confirmed in the Company's response to EDF-003[4] in which the Company asserts "The global warming potential used for methane is 25."

The CLCPA defines carbon dioxide equivalent (CO2e) as "THE AMOUNT OF CARBON DIOXIDE BY MASS THAT WOULD PRODUCE THE SAME GLOBAL WARMING IMPACT AS A GIVEN MASS OF ANOTHER GREENHOUSE GAS OVER AN INTEGRATED TWENTY-YEAR TIME FRAME AFTER EMISSION."

Methane is a much more potent greenhouse gas than carbon dioxide for the first 20 years it is in the atomposhere. Consequently, there is a significantly different CO2e when looking at a 20 year vs a 100 year timeframe. Using the definition now required by law the Company should be using a global warming potential of 86 not 25 as the Company confirmed during the Evidentiary Hearing testimony of the Future of Heat Panel on February 10, 2020.[5]

[3] Corrected Evidentiary Hearing Transcript Volume 1 - Monday, February 10 , 2020 - Albany Page 409 lines 1-6
[4] Exhibit 734 National Grid response to EDF-003
[5] Corrected Evidentiary Hearing Transcript Volume 1 - Monday, February 10 , 2020 - Albany Page 411 lines 2-10

ii. The Company does not evaluate or have a sufficient plan to reduce greenhouse gases emitted by the combustion of the fossil fuel they deliver

During the Evidentiary Hearing on February 10, 2020 the Companies testified that they have not done an evaluation of the greenhouse gases emitted when the gas they deliver is combusted and that their reduction goals do not include combustion related emissions.[6] The CLCPA requires a 40% reduction of greenhouse gas emission economy wide including combustion.

Throughout the case the Companies have presented no evidence on how they plan to evaluate emissions from the combustion of the fossil fuel they deliver or a plan on how they will reduce those emissions by 40%. The only evidence presented to reduce the amount of gas delivered and combusted is an insufficient expansion of the Companies' Gas Demand Response Demonstration Project which only looks to reduce gas use during peak events[7].
The Companies are looking to invest only $0.429 million[8] in this project to reduce gas combustion but as outlined below, they are requesting hundreds of millions of dollars to expand gas capacity through LNG, CNG and pipeline investments which will increase the overall combusted related emissions.

iii.The Company has not done evaluations to determine greenhouse gas emissions upstream during production, processing and transport and has insufficient plans to reduce upstream emissions

The CLPCA requires that upstream emissions caused by "production, processing and transport" be evaluated and reduced by 40% by 2030.

During the Evidentiary Hearing on February 10, 2020 the Companies' Future of Heat panel testified that the Northeast Supply Enhancement (NESE) Project was the only project they're aware of that an upstream greenhouse gas emissions evaluation was done.[9] The evaluation

[6] Corrected Evidentiary Hearing Transcript Volume 1 - Monday, February 10 , 2020 - Albany Page 394 lines 12-25
[7] Direct Testimony of Future of Heat Panel April 2019 Page 44 lines 13-20
[8] Direct Testimony of Future of Heat Panel April 2019 Page 47 lines 15-20
[9] Corrected Evidentiary Hearing Transcript Volume 1 - Monday, February 10 , 2020 - Albany Page 391 lines 7-10

was done by MJ Bradley and Associates[10] and uses the wrong CO2e for methane. By using a warming factor of 25 instead of 86 for methane, the report presents an incomplete evaluation of the climate impact of the NESE project and the increased gas the Companies would be delivering and thus a false comparison to other fuels such as heating oil.

During the Evidentiary Hearing on February 10, 2020 the Companies testified that while they're emission reduction goals and current plans are only focused on their distribution system, they are members of the Our Nation's Energy Future (ONE Future) coalition, to evaluate and reduce upstream emissions.

However the ONE Future coalition is fundamentally flawed and does not comply with the CLCPA requirements on two fronts: 1. EPA emissions have been proven to be highly underestimated 2.EPA emissions goals deal with emission intensity rather than overall emissions

a. EPA emissions have been proven to be highly underestimated

As Sane Energy Project testified to in both Direct and Supplemental Testimony, independent scientists are finding much higher methane emissions than those being reported to the EPA from the fracking industry. The Companies testified during the Evidentiary Hearing on February 10, 2020 that they have not looked at the research of Cornell scientist Robert Howarth who has recently been appointed to the Climate Action Council for the CLCPA. [11] Howarth's research has found significantly larger upstream methane emissions than those reported by the EPA.

Additionally there have been whistleblower reports[12] that the EPA has actively covered up methane leakage problems.

b.EPA emissions goals deal with emission intensity rather than overall emissions

During the Evidentiary Hearing on February 10, 2020 the Companies testified that the ONE Future coalition uses emission intensity rather than overall emissions as required by the

[10] Exhibit 612 Response to Sane IR-2
[11] Corrected Evidentiary Hearing Transcript Volume 1 - Monday, February 10 , 2020 - Albany Page 407 lines 13-18
[12] https://www.ncwarn.org/epa-oig-complaint/.

CLCPA.[13] By using emission intensity which is total emissions divided by total gas production emissions seem lower and more manageable than they actually are.

LPP Summary

The Companies have been presenting an incomplete picture of the climate impacts their system has and in doing so presenting a false solution in their LPP investments capabilities to reach greenhouse gas emission targets set by the IPCC and CLCPA. When the short-term potency of methane as a greenhouse gas is taken into account along with the full lifecycle of the fossil fuel, including upstream methane emissions and the emissions produced during combustion, which is now required by the CLCPA, it is not enough to reduce methane leakage within the system. To reach the level of emissions reduction outlined by the IPCC and CLCPA the Companies must begin to reduce the amount of gas delivered and consumed and begin retiring gas infrastructure.

By relying on LPP replacement for a majority of emission reduction the Companies are investing hundreds of millions of dollars every year to maintain a delivery system that needs to be retired. Instead of looking at how to responsibly retire the thousands of miles of LPP, the Companies are betting on unproven technologies like hydrogen blending and renewable gas to prevent their investment in LPP from becoming a stranded asset.

III. Metropolitan Reliability Infrastructure Project

A.Failure to Comply with State Law

National Grid's request to invest approximately 185 million ratepayer dollars[14] to finish phase 4 and phase 5 of the MRI project goes against at least two critical provisions of the CLCPA.

First, as outlined above, in order to be in compliance with the CLCPA's goals to reduce full lifecycle emissions, the Company needs to be reducing gas capacity and retiring infrastructure, not building it. In response to Sane IR-8[15] and confirmed during the Evidentiary Hearing on February 25, 2020 [16] the Company said they have not done a greenhouse gas emissions evaluation of the MRI project.

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[13] Corrected Evidentiary Hearing Transcript Volume 1 - Monday, February 10 , 2020 - Albany Page 401 lines 16-25
[14] Second Supplemental Testimony of Gas infrastructure and Operations Panel Exhibit (GIOP-1SS) Page 2
[15] Exhibit 682
[16] Corrected Evidentiary Hearing Transcript Volume 9 - Tuesday, February 25, 2020 - Albany Page 393 lines 9-13

Second, Section 7 of the CLCPA states "In considering and issuing permits, licenses, and other administrative approvals and decisions, including but not limited to the execution of grants, loans, and contracts, pursuant to article 75 of the environmental conservation law, all state agencies, offices, authorities, and divisions shall not disproportionately burden disadvantaged communities as identified pursuant to subdivision 5 of section 75-0101 of the environmental conservation law. All state agencies, offices, authorities, and divisions shall also prioritize reductions of greenhouse gas emissions and co-pollutants in disadvantaged communities as identified pursuant to such subdivision 5 of section 75-0101 of the environmental conservation law."

During the Evidentiary Hearing on February 25, 2020 the Company confirmed they did no studies to look at demographics along the MRI pipeline route to determine if they are building this project through disadvantaged communities. [17]

The CLCPA defines disadvantaged communities as "COMMUNITIES THAT BEAR BURDENS OF NEGATIVE PUBLIC HEALTH EFFECTS, ENVIRONMENTAL POLLUTION, IMPACTS OF CLIMATE CHANGE, AND POSSESS CERTAIN SOCIOECONOMIC CRITERIA, OR COMPRISE HIGH-CONCENTRATIONS OF LOW- AND MODERATE- INCOME HOUSEHOLDS, AS IDENTIFIED PURSUANT TO SECTION 75-0111 OF THIS ARTICLE."

A map generated by the New York Department of Environmental Conservation (DEC) shows the entire route of phases 4 and 5 is within Potential Environmental Justice Areas (PEJAs).[18]

The communities surrounding the MRI pipeline have been bearing the burden of environmental pollution including oil spills, car pollution from the Brooklyn Queens Expressway and trash waste and consequently the negative public health effects for decades.

B.Failure to Get Public Consent

The Commission must decide if an 185 million ratepayer dollar investment to complete phase 4 and phase 5 of the MRI project is in the public interest and public comment should be a

[17] Corrected Evidentiary Hearing Transcript Volume 9 - Tuesday, February 25, 2020 - Albany Page 394 lines 17-21
[18] https://www.dec.ny.gov/docs/permits_ej_operations_pdf/kingsejdetail.pdf

determining factor in that decision. Both the local Community Board and local elected officials have filed public comments opposing the MRI pipeline. Additionally, hundreds of the Company's ratepayers have submitted public comments opposing the MRI pipeline and the Company investing their ratepayer dollars in fracked gas infrastructure.

In response to Sane IR-8[19] the Company included examples of public outreach materials which said "We plan to construct the new gas main safely and reliably while acting as good neighbors, sharing information widely so that we can continue serving the community for decades to come. Throughout the project, National Grid will make every possible effort to update residents and businesses about upcoming actions, impacts and temporary parking restrictions, and will maintain an open and proactive dialogue about the project with our neighbors and our partners in the local communities."

In order to determine if the project is in the public interest the Company would need to get feedback and consent from the community before construction on the project began, but as the Company's literature shows they only did outreach on phase 4 and phase 5 to let the community know of impending construction. In response to Sane IR-8 on November 4, 2019 the Company said a meeting was being set up for Community Board 1 (CB-1) on the current phase of the project but construction had already started at that point.

When that meeting finally happened on January 14, 2020, numerous community members testified to the failure of the Company to do proper outreach to inform the community and get their consent[20]. Dozens of local residents, ratepayers and elected officials and their staff members spoke out in opposition of the project and on February 11, 2020 CB-1 passed a unanimous resolution opposing the project[21]. The CB-1 resolution was followed by a letter signed by 23 local elected officials[22] and their colleagues to Governor Cuomo and Commissioner John Rhodes, urging them to "prevent National Grid from using our constituents' money to build pipelines without community consent".

[19] Exhibit 682
[20] Exhibit 582
[21] Exhibit 682
[22] Letter to Governor Cuomo and Commissioner Rhodes sent February 24,2020 Elected Officials No NBK Pipeliine.pdf

IV. **CNG & LNG**

Based on the evidence presented throughout this case the Commission should also reject the Company's requested funding to expand and extend the life of their LNG and CNG facilities.

During the evidentiary hearing on February 25, 2020[23] the Company testified that they have not done a greenhouse gas emissions assessment or evaluation of disadvantaged communities for the following projects: 1. Adding two new vaporizers to the Company's Greenpoint LNG facility 2. Adding portable LNG trucking capabilities at the Company's Greenpoint facility, 3.Double capacity at the Company's Glenwood CNG facility 4. Adding two new CNG facilities within the Company's service territory

Greenhouse gas emissions evaluation is not only required by law under the CLCPA, but is critically important for LNG & CNG because as Sane Energy Project testified to in both Direct and Supplemental Testimony, and the Company recognizes in their recent report on Long-term solutions, LNG and CNG has larger greenhouse gas impact than other gas infrastructure.

Expanding the Greenpoint and Glenwood facilities would increase greenhouse gas emissions, instead of reducing them in a disadvantaged community that has been burdened by environmental pollutants and is extremely vulnerable to climate change flooding as the Company note in its Direct Testimony to justify investments in the Greenpoint facility LNG "The bulkhead is situated along Newton Creek and prevents land erosion from rising water level. The bulkhead may have hidden damage from past storms. This project was identified as a critical component during the Greenpoint Flood Study that resulted from the Company's Storm Hardening Collaborative, because it provides structural integrity along Newtown Creek." [24]

V. **Clove Lakes Transmission Loop Project**

[23] Corrected Evidentiary Hearing Transcript Volume 9 - Tuesday, February 25, 2020 - Albany Page 405 lines 19-25 and page 406 lines 1-21

[24] Direct Testimony of Gas Infrastructure and Operation Panel April 2019 Exhibit ___ (GIOP-5) Page 98 of 120

The Company's Second Supplemental Testimony says the Clove Lakes Transmission loop would be used to "deliver capacity for long-term growth"[25]. As outlined above, in order to be in compliance with the CLCPA's goals to reduce full lifecycle emissions, the Company needs to be retiring infrastructure and reducing the amount of gas delivered. The Commission should reject the Company's request for 2 million ratepayer dollars to do a feasibility study for the Clove Lakes Transmission loop since it is in clear violation of the CLCPA.

VI. Riverhead Transmission and Southeast Suffolk Projects

The Company's Second Supplemental Testimony says "These projects are required to support new customer connections in eastern Long Island." As outlined above, in order to be in compliance with the CLCPA's goals to reduce full lifecycle emissions, the Company needs to be retiring infrastructure and reducing the amount of gas delivered, not building new infrastructure and increasing demand by adding new customers. The Commission should reject the Company's request for $3.5 million for the Riverhead Transmission and $20.4 million for the Southeast Suffolk Projects.

VII. Safety of Gas Being Delivered

During the Evidentiary Hearing on February 10, 2020 the Companies testified that a growing percentage of the gas they are delivering is produced in the Marcellus Shale through hydraulic fracturing. [26] During Direct and Supplemental Testimony Sane Energy Project testified to the high levels of radioactivity of the Marcellus Shale and cited a 20-month investigative report that found that radioactivity is building up within gas infrastructure as "scale".

During the Evidentiary Hearing on February 25, 2020 the Companies testified that they do not believe radioactivity testing is being conducted[27]and that it is still the Companies position that they should not invest funds to test for radioactivity in the gas they deliver.

[25] Second Supplemental Testimony of Gas Infrastructure and Operational Panel December 2019 Page 7
[26] Corrected Evidentiary Hearing Transcript Volume 1 - Monday, February 10 , 2020 - Albany Page 363 line 19
[27] Corrected Evidentiary Hearing Transcript Volume 9 - Tuesday, February 25, 2020 - Albany Page 408 lines 16-17

In order to ensure the safety of the gas we request that the Commission order the Companies in accordance with bill A1020[28] which has been introduced in the New York State Assembly.

[28] https://www.nysenate.gov/legislation/bills/2019/A1020